

Taxes and investments

Any US resident who earns interest on a savings account or investments in other financial products is subject to tax on income received from these activities. With some retirement accounts, such as IRAs, the interest is tax-deferred.

Taxing savings and investments

Savings accounts, in general, have low returns right now, but the amount is still taxable. This requires submitting a 1099-INT form to the IRS. Interest income is taxed at marginal rates, which means your interest income is taxed at your personal income tax rate.

Examples of interest taxed as ordinary income include: interest on deposit accounts (such as checking and savings accounts), the value of gifts received for opening an account, dividends on deposit or share accounts in cooperative banks, credit unions, and other banking associations, interest on certificates of deposit (CDs), and interest on insurance dividends.

Different rules apply to dependents' accounts. Federal filing is required in the following cases: The dependent had unearned income of more than \$1,000, or had earned income of more than \$6,200. Gross income total is also a factor. If the dependent's gross income total was more than \$1,000 or the dependent had earned income up to \$5,850 plus \$350.

Parents can give a child up to a \$14,000 gift before taxes must be paid. The gift tax is complex and might need to be discussed with an attorney if there are several children involved as well as ex-spouses and remarried spouses. Likewise, trust funds have many rules, depending on the specific type of trust.

Tax breaks on investments

Income earned from certain types of investments are treated differently than ordinary income in terms of taxation. There is exempt interest income as well as deferred interest income.

Examples of exempt interest income include: exempt-interest dividends from a mutual fund, municipal bond interest (depending on the state, it

might also be exempt from state tax), and private activity bonds. Private activity bonds might be taxable as an alternative minimum tax (AMT) so seek expert advice about this type of bond.

Examples of deferred interest income include some US savings bonds, interest earned on tax-deferred accounts, such as 401(K)s and traditional IRAs (until earnings are withdrawn), and interest income on fixed-income instruments, which must be reported when paid upon maturity.

College savings

College education in the US has become expensive and one way to save for this is to start a 529 Plan, which is a savings plan operated by a state or educational institution. The goal is to set aside funds to pay for college expenses. It's advisable to start as early as possible so the amount can grow.

The earnings in a 529 Plan are tax-free and it will not be taxed when the money is withdrawn to pay for college. Note that the money from the plan must be used for college to be tax-free. Check with the state to find out details regarding funding, tax implications, and the specific type (either prepaid tuition plans or savings plans) of the 529 Plan that's available. It's also possible to choose a plan from a state where you don't reside.

It's common for close relatives and friends to set up an account for a child. Grandparents often do this to help contribute to their grandchild's college education.

Property tax

Property tax is payable on property owned in the US. The tax is set by and levied by the governing authority of the jurisdiction where the property is located.